



Car & General (Kenya) Limited
Audited results for
the year ended 30 September 2013

27 January 2014

Commentary

The year to September 2013 proved challenging. The elections had a negative impact in the first six months to March. Notwithstanding, the Group made reasonable progress in terms of growth in volume. Turnover, at KSh 7.1 billion, grew 24% over 2012. The Group generated a profit before tax of KSh 459 million, representing 29% growth.

The highlights of the financial year were the profitability of our Kenyan businesses and our business in Tanzania; the growth of our TVS two wheelers in Kenya; the growth of our three wheeler businesses in Kenya and Tanzania; the addition of Doosan construction equipment and Kubota tractors to our product portfolio; the addition of MRF tyres and Motoroil to our aftermarket portfolio; the growth of Cummins across the region; the establishment of a CKD motorcycle plant in Nakuru and several branches in Kenya; a more empowered and customer centric culture.

Profits from operations were adversely affected by a decline in mining activity in Tanzania which reduced revenues; a difficult year at Kibo, our poultry operation in Tanzania; the expenses incurred in the development of new product lines.

We continue with our corporate social responsibility programs. We are focusing on two major initiatives - our countrywide eye clinic program run through Lions Clubs which, in 2013, assisted 1,000 patients and sponsored over 120 cataract operations; and our water pan program which builds reservoirs in arid areas. We hope to intensify activity in 2014.

Final dividend, increase of capital and bonus issue

The Directors have resolved to recommend to shareholders at the Annual General Meeting to be held on March 2014 –

- (i) That a Final Dividend for the year to 30 September 2013 of KSh 0.80 per share be declared to those shareholders registered on 19 February 2014, save that the capitalisation issue (the bonus shares) referred to in (iii) below, shall not be entitled to the Final Dividend in respect of the financial year ended 30 September 2013.
- (ii) That the Share Capital of the Company be increased from KSh 170,000,000 to KSh 205,000,000 by the creation of 7,000,000 additional Ordinary Shares of KSh 5/- each.
- (iii) That a CAPITALISATION ISSUE (BONUS ISSUE) be made of one (1) new share for every five (5) shares held to those shareholders registered in the books of the Company at the close of business on 19 February 2014.

The capitalisation issue is subject to the approvals of the Capital Markets Authority and the shareholders.



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Closure of register

Notice is hereby given that the Register of Members will be closed from 20 February 2014 to 27 February 2014, both dates inclusive, for the purpose of preparation of the dividend and capitalisation lists. Documents for registration, which should be received by 4.30 pm on 19 February 2014, may be hand delivered or posted to the Registered Office at the following address:

New Cargen House, Lusaka Road, Nairobi, PO Box 20001 Nairobi City Square 00200.

Subject to the necessary approvals, shares in respect of the Capitalization issue are expected to be credited to the respective Central Depository System (CDS) Accounts on or about 20th March 2014.

Annual General Meeting

Notice is hereby given that the Annual General Meeting of the Company will be held on 20 March 2014 at 11.00 am at the Southern Sun, Mayfair Hotel, Parklands Road, Nairobi, Nairobi.

NP Kothari
Secretary

27 January 2014
Nairobi

CAR & GENERAL (KENYA) LIMITED

REPORT OF THE DIRECTORS

The directors have pleasure in presenting their annual report together with the audited financial statements of Car & General (Kenya) Limited ("the company") and its subsidiaries (together, the "group") for the year ended 30 September 2013 which show their state of affairs.

ACTIVITIES

The company acts as a holding company and derives its revenue from rental income, management fees and sale of industrial equipment. It also operates a trading branch in Juba, South Sudan. The activities of the subsidiary companies are detailed on page 3.

GROUP FINANCIAL RESULTS

	2013 Sh'000
Profit before taxation	458,969
Taxation	(143,179)
Profit for the year	315,790
Attributable to:	
Owners of the parent	295,113
Non-controlling interests	20,677
	315,790

DIVIDEND

The directors propose payment of a first and final dividend of Sh 26,735,539 (Sh 0.80 per share), (2012 – Sh 18,380,683 (Sh 0.55 per share)) in respect of the year.

Increase of authorised capital and capitalisation of revenue reserves.

The directors have resolved to recommend to shareholders at the Annual General Meeting to (a) increase the authorised capital from Sh 170,000,000 to Sh 205,000,000 by the creation of 7,000,000 additional ordinary shares of Sh 5 each and (b) make a capitalisation issue (Bonus Issue) issue of 1 (one) new share for every five (5) shares held.

The capitalisation issue is subject to the approvals of the Capital Markets Authority and the shareholders.

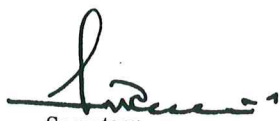
DIRECTORS

The present board of directors is shown on page 2.

AUDITORS

Deloitte & Touche have expressed their willingness to continue in office in accordance with Section 159(2) of the Companies Act (Cap 486).

BY ORDER OF THE BOARD


Secretary

27 January 2014

Nairobi

CAR & GENERAL (KENYA) LIMITED

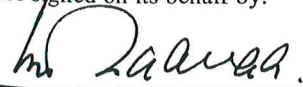
CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER
COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 SEPTEMBER 2013

	Notes	2013 Sh'000	2012 Sh'000
TURNOVER	3(b)	7,056,021	5,711,529
COST OF SALES		(5,861,852)	(4,695,638)
GROSS PROFIT		1,194,169	1,015,891
OTHER INCOME	4	13,502	23,823
GAIN IN FAIR VALUE OF INVESTMENT PROPERTY	13	292,500	196,750
PROFIT ON SALE OF SHARES IN SUBSIDIARY COMPANY	17(b)	-	119,755
SELLING AND DISTRIBUTION COSTS		(362,448)	(324,602)
ADMINISTRATIVE EXPENSES		(473,181)	(425,389)
INTEREST EXPENSE	5	(213,287)	(261,716)
NET FOREIGN EXCHANGE GAINS		7,714	10,006
PROFIT BEFORE TAXATION	6	458,969	354,518
TAXATION CHARGE	8	(143,179)	(87,962)
PROFIT FOR THE YEAR	9	315,790	266,556
OTHER COMPREHENSIVE INCOME:			
<i>Items that will not be reclassified subsequently to profit or loss</i>			
REVALUATION SURPLUS ON PROPERTY		86,970	43,935
DEFERRED TAX ON REVALUATION SURPLUS		(26,091)	(13,181)
EXCHANGE DIFFERENCE ARISING ON TRANSLATION OF FOREIGN OPERATIONS		2,736	(34,767)
		63,615	(4,013)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		379,405	262,543
PROFIT FOR THE YEAR ATTRIBUTABLE TO:			
OWNERS OF THE PARENT		295,113	250,068
NON-CONTROLLING INTERESTS		20,677	16,488
PROFIT FOR THE YEAR		315,790	266,556
TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO:			
OWNERS OF THE PARENT		358,728	246,055
NON-CONTROLLING INTERESTS	10	20,677	16,488
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		379,405	262,543
EARNINGS PER SHARE - Basic and diluted			
	11	8.83	7.48

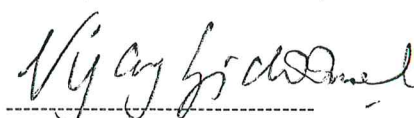
CAR & GENERAL (KENYA) LIMITED
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 30 SEPTEMBER 2013

	Notes	2013 Sh'000	2012 Sh'000
ASSETS			
Non-current assets			
Investment property	13	1,895,000	1,602,500
Property, plant and equipment	14(a)	776,042	677,998
Operating lease prepayments	15	13,427	13,729
Intangible assets	16	6,165	2,816
Deferred tax asset	22(b)	22,204	11,178
		2,712,838	2,308,221
Current assets			
Inventories	18	2,557,040	2,200,610
Trade and other receivables	19	1,443,407	1,007,150
Due from related parties	20	1,588	2,148
Tax recoverable	8(c)	16,069	15,379
Cash and bank balances		170,488	171,892
		4,188,592	3,397,179
Total assets			
		6,901,430	5,705,400
		=====	=====
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	21	167,097	167,097
Revaluation surplus		338,441	283,089
Revenue reserve		1,948,665	1,666,406
Translation reserve/(deficit)		(23,853)	(26,589)
Equity attributable to owners of the parent		2,430,350	2,090,003
Non-controlling interests	10	73,828	53,151
Total equity		2,504,178	2,143,154
Non-current liabilities			
Deferred tax liabilities	22(b)	535,779	409,886
Borrowings	23	94,869	223,897
		630,648	633,783
Current liabilities			
Borrowings	23	1,827,960	1,476,963
Trade and other payables	24	1,927,135	1,441,981
Taxation payable	8(c)	11,509	9,519
		3,766,604	2,928,463
Total equity and liabilities			
		6,901,430	5,705,400
		=====	=====

The financial statements on pages 10 to 53 were approved by the board of directors on 27 January 2014 and were signed on its behalf by:



N Ng'ang'a
Director



V V Gidoomal
Director

CAR & GENERAL (KENYA) LIMITED

COMPANY STATEMENT OF FINANCIAL POSITION
AS AT 30 SEPTEMBER 2013

	Notes	2013 Sh'000	2012 Sh'000
ASSETS			
Non current assets			
Investment property	13	1,160,000	957,500
Property, plant and equipment	14(b)	373,717	286,981
Operating lease prepayments	15	937	955
Intangible assets	16	5,405	1,729
Investment in subsidiaries	17	27,942	27,942
		1,568,001	1,275,107
Current assets			
Inventories	18	89,111	-
Trade and other receivables	19	64,830	47,461
Due from related parties	20	1,588	2,148
Due from group companies	20	2,727,235	2,892,650
Cash and bank balances		5,449	2,996
		2,888,213	2,945,255
Total assets			
		4,456,214	4,220,362
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	21	167,097	167,097
Revaluation surplus		241,144	183,414
Revenue reserve		724,193	589,561
Total equity		1,132,434	940,072
Non current liabilities			
Deferred taxation	22	431,873	336,468
Borrowings	23	56,837	223,897
		488,710	560,365
Current liabilities			
Borrowings	23	1,053,166	1,332,566
Trade and other payables	24	27,042	36,025
Due to group companies	20	1,754,862	1,351,334
		2,835,070	2,719,925
Total equity and liabilities			
		4,456,214	4,220,362

The financial statements on pages 10 to 53 were approved by the board of directors on 27 January 2014 and were signed on its behalf by:


N Ng'ang'a
Director


V V Gidoomal
Director

CAR & GENERAL (KENYA) LIMITED
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 SEPTEMBER 2013

	Share capital Sh '000	Revaluation surplus Sh '000	Revenue reserve Sh '000	Translation reserve Sh '000	Attributable to owners of the parent Sh '000	Non-controlling interests Sh '000	Total Sh '000
Year ended 30 September 2012							
At 1 October 2011	167,097	256,430	1,430,624	8,178	1,862,329	57,993	1,920,322
Profit for the year	-	-	250,068	-	250,068	16,488	266,556
Revaluation surplus on property	-	43,935	-	-	43,935	-	43,935
Deferred tax on revaluation surplus	-	(13,181)	-	-	(13,181)	-	(13,181)
Exchange difference arising on translation of foreign operations	-	-	-	(34,767)	(34,767)	-	(34,767)
Total comprehensive income for the year	-	30,754	250,068	(34,767)	246,055	16,488	262,543
Transfer of excess depreciation	-	(5,850)	5,850	-	-	-	-
Deferred tax on excess depreciation transfer	-	1,755	(1,755)	-	-	-	-
Non-controlling interests share of subsidiary disposed off during the year - note 10	-	-	-	-	-	(21,330)	(21,330)
Dividends paid - 2011	-	-	(18,381)	-	(18,381)	-	(18,381)
At 30 September 2012	167,097	283,089	1,666,406	(26,589)	2,090,003	53,151	2,143,154
Year ended 30 September 2013							
At 1 October 2012	167,097	283,089	1,666,406	(26,589)	2,090,003	53,151	2,143,154
Profit for the year	-	-	295,113	-	295,113	20,677	315,790
Revaluation surplus on property	-	86,970	-	-	86,970	-	86,970
Deferred tax on revaluation surplus	-	(26,091)	-	-	(26,091)	-	(26,091)
Exchange difference arising on translation of foreign operations	-	-	-	2,736	2,736	-	2,736
Total comprehensive income for the year	-	60,879	295,113	2,736	358,728	20,677	379,405
Transfer of excess depreciation	-	(7,363)	7,363	-	-	-	-
Deferred tax on excess depreciation transfer	-	1,836	(1,836)	-	-	-	-
Dividend paid - 2012	-	-	(18,381)	-	(18,381)	-	(18,381)
At 30 September 2013	167,097	338,441	1,948,665	(23,853)	2,430,350	73,828	2,504,178

CAR & GENERAL (KENYA) LIMITED

COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 SEPTEMBER 2013

	Share capital Sh '000	Revaluation surplus Sh '000	Revenue reserve Sh '000	Total Sh '000
Year ended 30 September 2012				
At 1 October 2011	167,097	155,193	396,971	719,261
Profit for the year	-	-	208,438	208,438
Revaluation surplus on property	-	43,935	-	43,935
Deferred tax on revaluation surplus	-	(13,181)	-	(13,181)
Total comprehensive income for the year	-	30,754	208,438	239,192
Transfer of excess depreciation	-	(3,619)	3,619	-
Deferred tax on depreciation transfer	-	1,086	(1,086)	-
Dividend paid - 2011	-	-	(18,381)	(18,381)
At 30 September 2012	167,097	183,414	589,561	940,072
Year ended 30 September 2013				
At 1 October 2012	167,097	183,414	589,561	940,072
Profit for the year	-	-	149,864	149,864
Revaluation surplus on property	-	86,970	-	86,970
Deferred tax on revaluation surplus	-	(26,091)	-	(26,091)
Total comprehensive income for the year	-	60,879	149,864	210,743
Transfer of excess depreciation	-	(4,498)	4,498	-
Deferred tax on depreciation transfer	-	1,349	(1,349)	-
Dividend paid - 2012	-	-	(18,381)	(18,381)
At 30 September 2013	167,097	241,144	724,193	1,132,434

CAR & GENERAL (KENYA) LIMITED

CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 SEPTEMBER 2013

	Notes	2013 Sh'000	2012 Sh'000
Cash flows from operating activities			
Net cash generated from operations	25(a)	148,546	286,730
Tax paid	8(c)	(53,401)	(6,214)
Net cash generated from operating activities		<u>95,145</u>	<u>280,516</u>
Cash flows from investing activities			
Purchase of property, plant and equipment	14(a)	(62,442)	(109,284)
Purchase of intangible assets	16	(4,489)	(286)
Proceeds on disposal of property, plant and equipment		5,346	9,353
Proceeds from disposal of subsidiary company		-	166,577
Net cash (used in)/generated from investing activities		<u>(61,585)</u>	<u>66,360</u>
Cash flows from financing activities			
Loans received	25(b)	3,629,491	3,269,046
Loans repaid	25(b)	(3,495,976)	(3,379,525)
Dividend paid		(18,381)	(18,381)
Interest paid	5	(213,287)	(261,716)
Repayment of hire-purchase finance	25(b)	(357)	(2,459)
Net cash used in financing activities		<u>(98,510)</u>	<u>(393,035)</u>
Net decrease in cash and cash equivalents		<u>(64,950)</u>	<u>(46,159)</u>
Cash out flow on disposal of subsidiary		-	(550)
Cash and cash equivalents at the beginning of the year		105,690	151,188
Effects of exchange rate changes on the balance of cash held in foreign operations		<u>305</u>	<u>1,211</u>
Cash and cash equivalents at the end of the year	25(d)	<u>41,045</u>	<u>105,690</u>